Syllabus Edition
First teaching 2025
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Companies

Exam code: 0450, 0986 & 0264, 0774

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Updated on 27 August 2025

Private limited companies

- **A private limited company is a business owned by private shareholders with limited liability and restricted share sales**
  - The ownership of the private limited company is broken down into a **specified number of shares**
    - These shares can be held in their entirety by the entrepreneur, sold to friends and family or to **venture capitalists**
    - These owners are called **shareholders**
  - Private limited companies are **registered**
    - They need to submit details of financial performance and any **changes in ownership** each year
- An entrepreneur may choose to form a **private limited company** to **provide more financial security**, as they will benefit from **limited liability**
- Decision-making often rests with the person appointed to run the company, often called the **Managing Director** or **CEO**
- Some **large businesses** choose to **remain as private limited companies**
  - Family shareholders can **retain control** over the business
  - Shareholders prefer to **avoid the scrutiny** that comes with **flotation**
  - They may have **little need to raise large sums of capital** and can fulfil their objectives as a private limited company

Evaluating private limited companies

Advantages	Disadvantages

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

for the company's debts • Access to greater finance and capital • Easier to transfer ownership to new shareholders • Can provide a professional image and reputation	• More complex legal requirements and regulations than sole traders • Annual financial reporting and audits are required • Shareholders have little control over the company, as the founder usually imposes their agenda

Help me understand

Limited liability

- Limited liability means that owners (shareholders) of private limited companies and public limited companies can only **lose the original amount they invested** in the business if it fails

Implications of limited liability

- Companies are incorporated, and owners are considered a separate legal entity to the business
- This means that if a company fails, the owners would **lose their investment** (shares) but would not have to use their assets to meet additional debts or legal fees
  - For example, in 2018 construction company Carillion entered **liquidation** and the shareholders lost their investments
- In most cases, shareholders **cannot be held responsible** for unlawful acts committed by those connected with the business
- Limited liability can **encourage investment** because shareholders know their personal assets are protected
  - This makes it easier for companies to **raise capital**, as more people are willing to buy shares
- Owners can take **more business risks**, knowing their **personal assets are not at risk**

Public limited companies

- **A public limited company is a company whose shares can be sold on a stock exchange to the public, with shareholders having limited liability**
  - When a business is growing rapidly, it may **require a significant amount of capital** to fund its expansion
  - To secure this funding, it may choose to transition from a **private limited company (LTD) to a public limited company (PLC)**
  - This is a complex legal process that involves undergoing a **stock market flotation**

- They must publish their annual reports and hold an AGM each year
  - A **board of directors**, whose members are elected by shareholders at the AGM, acts as the governing body of a company,
  - The board of directors appoints a **CEO** to lead the company

Evaluating public limited companies

Advantages	Disadvantages
• Significant amounts of capital can be **raised very quickly** • The risks associated with ownership are spread among a larger group of shareholders • Becoming a PLC raises a company's profile and increases its visibility with customers, suppliers and potential investors	• The business is required to adhere to a range of **legal and financial regulations**, which can be costly and time-consuming to comply with • Selling shares to the public creates many **shareholders**, **who have a say** in how the company is run • PLCs are expected to deliver **consistent growth** and **profits** to their shareholders

Examiner Tips and Tricks

When writing about **private and public limited companies**, don't just list features – highlight how **selling shares** and having **limited liability** affect ownership, control and sources of finance. This comparison is a common exam focus

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